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NE FINE DAY, Aradhana Taneja, a 31-year-old IT professional passionate about travel was walking into a bustling shopping mall in Noida when a credit card sales executive from a well-known credit card provider approached her. Though initially uninterested in hearing about the benefits of the card, two perks grabbed her attention. Firstly, the sales rep said the card required no joining fee; and secondly, the card awarded

3x reward points for each domestic premium economy air ticket purchased using it. Plus, he said, she would also receive generous rewards for every purchase she made in shopping malls. Intrigued by the seemingly cost-free proposition, Taneja decided to go for it.

Fast forward a year, and Taneja was shocked to be charged ₹3,000 as annual fee. Then it dawned on her that the credit card was not, in fact, free for lifetime. After scrutinising the terms and conditions of the card, she discovered that the card was less beneficial than what she'd been told. She would have to make several mandatory purchases in order to avail the annual fee waiver.

76 | Her case is not unique. Anecdotal evidence suggests that such instances are quite common. And all of them serve as good examples of what can happen when you don't evaluate your options thoroughly before making a financial decision. It also underscores the importance of choosing the right credit card based on your needs and circumstances. Thus, you should evaluate the potential risks, and costs and benefits of any card before signing up. Careful consideration can protect you from unpleasant surprises, and help you maximise your benefits.

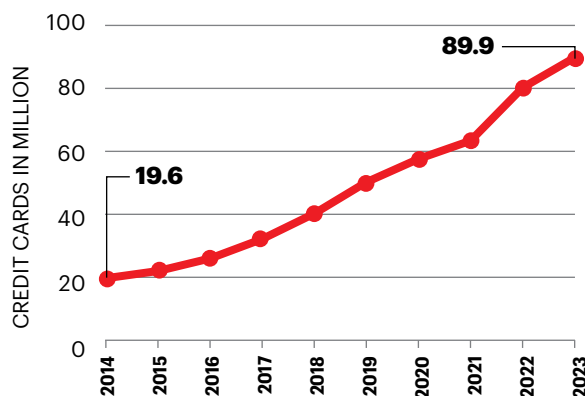
While choosing the right credit card can seem like a daunting task due to the vast selection of cards available, some steps can help you simplify the process, and ensure that you make a choice that best suits your financial needs.

Identify the purpose: Before you shortlist a card, you must identify why you need a new one. For instance, if you are new to credit and want to build your credit score, getting a low-fee entry-level card with basic benefits is best. But if you are trying to rebuild a poor credit history, you might want a secured card, or one that reports to all the major credit bureaus.

On the other hand, if you already have a few cards, you should look for one that helps you save on a category that is not served by your existing cards. Also, some cards offer reward points, air miles or cash back, or a combination of the three. So decide which rewards are most valuable for

CARDS GALORE

The total number of credit cards in existence in India has jumped nearly 3.5 times in the past nine years



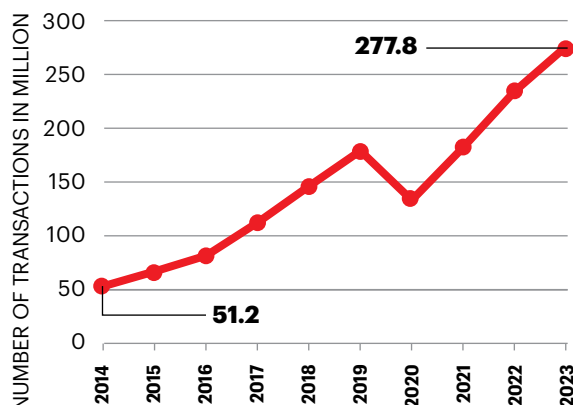
NOTE: DATA PERTAINS TO JULY OF EACH YEAR;
SOURCE: DATA BY RBI; ANALYSIS BY BANKBAZAAR.COM

► **THE TOTAL NUMBER OF CREDIT CARDS IN INDIA ROSE FROM 19 MILLION IN 2014 TO NEARLY 90 MILLION IN 2023**

► **THIS CAN BE ATTRIBUTED TO EASIER ACCESS TO FINANCIAL SERVICES, FINANCIAL LITERACY, AND FLEXIBLE PAYMENT OPTIONS**

SWIPE, SWIPE

The number of credit card transactions has jumped nearly 5.5 times in the past nine years



NOTE: DATA PERTAINS TO JULY OF EACH YEAR;
SOURCE: DATA BY RBI; ANALYSIS BY BANKBAZAAR.COM

► **THE TOTAL NUMBER OF CREDIT CARD TRANSACTIONS HAS JUMPED FROM OVER 51 MILLION IN 2014 TO MORE THAN 277 MILLION IN 2023**

► **A CHANGING LIFESTYLE HAS LED YOUNG INDIANS TO CHOOSE CREDIT CARDS FOR THEIR CONVENIENCE AND REWARDS. THE TREND LOOKS ALL SET TO CONTINUE**